

International education under three migration settings

What a system dynamics model shows for the higher education sector to May 2034

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1 Purpose

The intent of this paper is to set out what a calibrated model of Australian migration shows for the higher education sector under the three settings now before voters. It is written for sector leaders, members of parliament and their advisers.

The paper takes no position on which setting is better. That judgement turns on the weight a reader gives the sector against national aims such as lower net migration, housing supply and visa integrity. On those national measures, the ranking differs from the one reported here.

1.1 The model

The model is a system dynamics model of net overseas migration, the economy and international education. It splits students by provider type (public universities, private higher education, VET, ELICOS, and schools and non-award). It was calibrated to 105 published series from July 2018 to 2026 (ABS, Home Affairs, the Department of Education and Jobs and Skills Australia) and tested against that record before use.

It runs four paths from October 2026 on a common baseline:

- Current settings, with no new policy.
- Labor's September 2026 package, including the upward-only progression rule, the closure of student dependant visas and the visitor no-further-stay condition.
- The Coalition's rule capping net migration at the previous year's dwelling completions, from July 2028.
- One Nation's rule for three years of net-negative migration, with a cap of 100,000 student grants a year and a ceiling of 130,000 after that, from July 2028.

Readings are taken at the end of each federal term: May 2028, May 2031 and May 2034. The Coalition and One Nation rules start after the 2028 election, so the first term compares Labor's package with current settings only.

1.2 Terms

- **Allocation use:** commencements over the past twelve months as a share of the provider type's share of the national planning level.
- **MD115:** Ministerial Direction 115. Visa processing slows for providers past 80% of their allocation, and slows further past 115%.
- **The hop down the price ladder:** a student who finishes a university course and moves to a cheaper private or VET place, rather than progressing or leaving.
- **Archetypes:** three stylised providers used to read the results at institution level. Each was set at 60% allocation use in 2025. They follow their provider type and do not feed back into it.

2 Summary

- Under current settings the sector declines slowly. Income falls from \$11.6bn today to \$9.4bn by May 2034, and every provider type drifts further below its allocation.
- The sector is short of students, not places. No path fills the planning level.
- Labor's package is the only path on which the sector grows (\$11.8bn by May 2034). The growth comes from lower refusal rates once onshore visa switching is cut. That is the least certain relationship in the model.
- The Coalition's rule shrinks the sector (\$7.5bn) and shifts intake onshore. Transfers down the price ladder are the highest of any path.
- One Nation's rule shrinks it most (\$6.0bn). The damage is concentrated in the second term.
- All three packages concentrate intake on South Asia. Labor's does so most.

3 The sector at the end of each term

Table 1 shows the sector measures at each election. Bold marks the reading most favourable to the sector. The two market-share rows describe the mix of applicants, so no reading is marked.

Table 1. Higher education measures by party setting

Measure	Date	Current settings	Labor	Coalition	One Nation
International tuition income	May 2028	\$10.8bn	\$10.6bn	\$10.8bn	\$10.7bn
	May 2031	\$10.0bn	\$10.9bn	\$8.3bn	\$6.3bn
	May 2034	\$9.4bn	\$11.8bn	\$7.5bn	\$6.0bn
University commencements (a year)	May 2031	71,000	88,000	50,000	26,000
	May 2034	68,000	94,000	51,000	42,000
Students enrolled: universities	May 2034	178,000	218,000	133,000	109,000
Students enrolled: private higher education	May 2034	48,000	74,000	44,000	36,000
Students enrolled: VET	May 2034	67,000	72,000	68,000	51,000
Allocation use: universities	May 2034	40%	54%	29%	26%
Allocation use: private higher education	May 2034	49%	92%	50%	43%
Hop down the price ladder (a year)	May 2034	2,457	359	4,253	3,793
Refusal rate: South Asian applicants	May 2034	51%	14%	29%	25%
Share of applications: South Asia	May 2034	21%	39%	31%	34%
Share of applications: China	May 2034	26%	15%	19%	18%

Levels are the model's count of students, not course enrolments. Read them for direction and relative size.

Table 2 shows the same paths for the three archetypes. The first figure is international revenue against 2025. The figure in brackets is allocation use.

Table 2. Archetype providers at May 2034

Archetype	Current settings	Labor	Coalition	One Nation
A: private city higher education provider	64% (48%)	102% (75%)	61% (49%)	50% (42%)
B: mid-tier metropolitan university	71% (48%)	88% (61%)	53% (38%)	43% (34%)
C: domestic-focused specialist provider	57% (36%)	108% (78%)	55% (38%)	47% (34%)

A reading of 100% or more means the provider is back to its 2025 international revenue.

4 Why the paths differ

International student income is, in simple terms, students enrolled multiplied by fees. Two things set each path. The first is how many offshore applicants are granted, through caps and refusal rates. The second is how many students already in Australia move between providers.

4.1 Current settings

The 2022-23 cohorts finish their courses and fewer students replace them. Refusal rates stay high, reaching 51% for South Asian applicants by 2034. From 2027 allocations follow use, so each provider's allocation is trimmed as its intake falls. Income drifts from \$11.6bn today to \$9.4bn.

4.2 Labor's package

The package cuts onshore visa switching. The upward-only rule (horizontal requires a new visa) stops most university completers moving to a cheaper provider (the hop falls significantly). Fewer students move onto bridging visas. In the model, refusal rates respond to that switching. They fall for every source market, and more offshore applicants are granted. South Asian refusals reach 14% by 2034.

Enrolments dip in the first term and recover from the second. Universities gain most because they draw the largest share of applicants from every market. Private providers lose the transfers they used to receive, but gain more from new South Asian students (their main market). They pass the MD115 80% line from about 2031 and reach 92% of their allocation by 2034. No other part of the sector meets the cap on any path. VET takes the first-term hit: about 34,000 commencements a year by May 2028, against 41,000 under current settings. It recovers from there.

4.3 The Coalition's rule

From July 2028 the cap cuts temporary visa grants across the board, offshore student visas included. Universities depend most on offshore intake and lose most. Their commencements fall to about 51,000 a year by 2034, against 68,000 under current settings.

The cap does not reach students already in Australia. As the temporary population shrinks, visa switching falls and refusals ease, so each transfer is more likely to succeed. The hop rises to about 4,250 a year, the highest of any path. Those transfers hold private higher education and VET roughly steady. The numbers move onshore rather than disappearing. Income falls to \$7.5bn.

4.4 One Nation's rule

The rule adds a hard cap of 100,000 student grants a year to cuts across all temporary visas. The effect is concentrated in the second term. By May 2031 university commencements are about 26,000 a year and university allocation use is 16%. ELICOS and schools lose more than half their commencements.

Students stay two to four years. The fall in commencements is therefore still working through enrolments in 2034, even though intake has partly recovered under the ongoing ceiling. Income falls to \$6.0bn, and every archetype ends below half its 2025 revenue. (As announced, without its appeals legislation, the rule gives one year of negative net migration rather than three. The student grant cap applies either way.)

5 Implications

5.1 For policy makers

- The planning level does not bind on any path. Grant caps and refusal rates do. Changing the planning level alone will not change the size of the sector while demand sits below it.
- A cap on offshore grants leaves onshore transfers open. If the aim is fewer transfers, a switching rule achieves that directly. A grant cap moves numbers onshore.
- Allocations that follow use cut a provider's places while its intake is down. After a policy-driven fall, that slows recovery. The utilisation rule should allow for falls the provider did not cause.
- Every path concentrates intake on South Asia. None of the three packages carries a lever for market diversification.

5.2 For providers

- Under current settings, and under the Coalition and One Nation rules, no archetype returns to its 2025 revenue by 2034. Financial plans should not assume a return to 2025 income without a change in settings.
- A fee cut lifts allocation use but not income. Archetype A cutting its fee from \$24,000 to \$19,000 lifts its allocation use from 48% to 58% by 2034, while revenue stays at about 63% of 2025. Under Labor's package the same cut costs revenue (93% against 102%).
- Providers that rely on onshore transfers are most exposed to the upward-only rule. That channel stays open under the Coalition and One Nation rules.
- Under Labor's package, private providers reach the MD115 threshold around 2031. From that point processing, not demand, limits their growth.

6 How far to rely on the results

- The paths are scenarios on a common baseline. They are not forecasts.
- Commencement levels are not validated. The Department of Education counts course commencements, and a student can start several courses a year. Direction and relative size are the reliable reading.
- Labor's recovery rests on how strongly refusal rates respond to visa switching. It is the least-evidenced relationship in the sector model, and the model undershot the 2026 refusal spike. The direction is sound. The size is uncertain.
- Where a party has not quantified a lever (how hard a cap cuts grants, for example) its size was set by judgement and flagged.
- The archetypes are stylised. They show how the settings reach an institution. They do not represent any named provider.

7 Conclusion

Under current settings the sector shrinks slowly. The Coalition and One Nation rules shrink it faster and further, and One Nation's cuts deeper. Labor's package is the only path on which the sector grows, and that result rests on the model's least certain relationship. On every path the binding constraints are student demand and visa settings.

The next step is to run the settings actually under negotiation (for example a revised planning level split or a refusal-rate target) against the same baseline. The model's dashboard supports this

directly. The archetypes in the model are precisely that - not actual institutions, but indicative for information purposes. The impact on a particular institution would need to be explicitly modelled.